

Contested Legitimacy in Indonesian Zakat Governance: A Qualitative Case Study of State–Private Competition

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Abstract

This case study examines the competition between government and private institutions in mobilizing zakat in Indonesia, and argues that its underlying stake is legitimacy—the recognized right to define and distribute communal virtue. Using qualitative document analysis and an inductive thematic analysis of twelve data sources (nine documents and three practitioner interviews spanning the state and private sectors), it derives four themes that together describe how legitimacy is contested and built: contested authority between state control and religious voluntarism; a trust deficit rooted in institutional capacity; digital transformation as a new mechanism for earning legitimacy; and the tension between fragmentation and co-governance. The contest surfaced most visibly in Constitutional Court Judicial Review No. 97/PUU-XXII/2024, in which the Dompet Dhuafa foundation and figures associated with the Jakarta Zakat Forum challenged the National Zakat Agency’s (BAZNAS) consolidated role as regulator, operator, and auditor—a tri-role confirmed from the state side in interview and named from the private side as a “player who is also the referee.” Reading the themes through Amelia Fauzia’s framework of state-religion relations, the study finds that the competition is unlikely to be resolved through further centralization and is better addressed through a co-governance model pairing state oversight with the community-rooted agility of private actors—conditional on mutual trust and a willingness to collaborate that remain scarce, and on the state’s relinquishing its operator role. The study contributes by extending Fauzia’s dialectic into the digital and legal present, introducing digital legitimacy as an analytic category, and reframing co-governance as a contest over incompatible end-state.

Keywords: legitimacy, zakat governance, BAZNAS, LAZ, Islamic philanthropy, co-governance, digital transformation, Indonesia

Introduction

Islamic philanthropy sits at the center of Indonesia’s welfare landscape, and zakat is its most institutionalized pillar. In the world’s largest Muslim-majority society, zakat has never been only an act of worship; it functions as a redistributive mechanism that has, historically, buffered poverty and held communities together. As the state has extended its reach into religious affairs, however, the collection and governance of zakat have become contested—a field in which government bodies and private organizations compete for authority, donors, and, this study argues, legitimacy.

That contest has a long history. Before the state took a systematic interest in zakat, its collection and distribution were decentralized, administered by religious leaders (ulama and kyai) and community-based institutions in a bottom-up arrangement anchored in personal trust between donors (muzakki) and those who managed their giving. The Dutch colonial administration brought the first sustained state intrusion, documenting and regulating zakat and waqf (Snouck Hurgronje, 1906)—a policy later read

as intended to blunt the socio-political influence of Muslim religious elites (Fauzia, 2013). That logic of intervention outlived colonialism and reappeared, under new justifications, after independence.

The establishment of BAZNAS in 2001, and the legal architecture built around it—Law No. 38 of 1999 and its revision, Law No. 23 of 2011—represents the most consequential phase of that intervention. Under Law No. 23/2011, BAZNAS is constituted as the national coordinating authority for the planning, collection, distribution, and reporting of zakat, with private Amil Zakat Institutions (LAZ) required to obtain accreditation and to report to it (Republic of Indonesia, 2011). The stated rationale is by now familiar: transparency, protection against mismanagement, and the integration of zakat into national development.

Despite this framework, private institutions such as Dompot Dhuafa, Rumah Zakat, and Inisiatif Zakat Indonesia have continued to thrive, frequently outperforming state bodies in public trust, innovation, and fundraising capacity. Much of that advantage has come from their early and aggressive adoption of digital technology. The behavioral evidence is striking: a 2025 national study of Muslim donors found that the largest donor segments are “Religious” (39.0%) and “Skeptical” (23.5%) givers, and that when donors do give through formal institutions, they overwhelmingly choose digital channels and bank transfer over counters and offices (Institute for Demographic and Affluence Studies [IDEAS], 2025). Technology, in other words, has become a front-line determinant of where trust—and therefore money—flows.

The friction between state and private actors is not only administrative. It rests on a theological question about the nature of zakat itself. Many scholars and civil-society leaders hold that zakat, as *ibadah maliyah*, should remain voluntary and spiritually motivated, and warn that over-bureaucratization risks turning it into a quasi-tax that alienates donors and hollows out the spiritual meaning of giving. And yet the relationship is not purely adversarial: state and private actors have collaborated effectively during national emergencies—joint disaster response, co-branded campaigns during the COVID-19 pandemic—suggesting that a hybrid model may be viable.

Across all of these dimensions, a single construct is ultimately at stake: legitimacy—the recognized right to define and distribute communal virtue. This study treats the other themes it identifies as the arenas in which legitimacy is respectively underwritten (trust), earned (digital transformation), and redistributed (co-governance). To develop that argument, the study is organized around a single overarching research question, supported by three sub-questions:

Overarching question: How does the competition between state and private institutions shape the mobilization of zakat in Indonesia?

SQ1. How do legitimacy and public trust shape muzakki preference between state and private channels?

SQ2. How is digital transformation altering the balance of competition between the two sectors?

SQ3. Under what conditions might the sector move from fragmentation toward co-governance?

Literature Review

Islamic philanthropy occupies a crucial place in Indonesia’s welfare landscape, and the governance of zakat, waqf, and sadaqah has increasingly become contested terrain between state and civil-society actors competing over authority, efficiency, legitimacy, and autonomy.

Historically, zakat management in Indonesia was decentralized and community-driven. Fauzia (2013) shows that this localized model treated Islamic philanthropy as an embedded social institution, operating largely independently of the state and rooted in communal trust; Snouck Hurgronje (1906) documented how colonial regulation first curtailed that autonomy. After independence, the state reframed philanthropy as a development resource, and Law No. 38/1999—revised as Law No. 23/2011—formalized zakat management in the name of transparency and coordination. That move was not universally welcomed; private institutions such as Dompot Dhuafa, Rumah Zakat, and LAZISMU continued to operate vigorously and often commanded greater public trust (Zaari et al., 2025).

More recent scholarship has sharpened three lines of debate. The first concerns legitimacy and the limits of state authority. Zaari et al. (2025), analyzing Constitutional Court Decision No. 97/PUU-XXII/2024 through the lens of *siyāsah shar‘iyyah*, argue that BAZNAS’s consolidated mandate as regulator, operator, and auditor generates a structural conflict of interest that sits uneasily with Islamic governance principles of *maslahah* and distributive justice. Comparative work reinforces the point: studies contrasting Indonesia with Malaysia and Pakistan find that balanced, participatory regulation tends to yield more resilient zakat ecosystems than centralization alone (Ma’ruf et al., 2020; Marenza & Karimuddin, 2024).

The second line concerns trust and institutional capacity. A recurring finding is that Indonesia’s low realization of zakat potential is driven less by scarce religious motivation than by a deficit of public confidence in institutions—shaped by perceptions of weak transparency, occasional mismanagement, and the preference of many muzakki to give directly (Thahir & Muhibbuddin, 2025; Owoyemi, 2020). Notably, transparency appears to be shaped more by internal governance commitment than by institutional scale: several regional LAZ outperform national bodies in reporting quality, complicating any simple “big-state-is-better” narrative.

The third line concerns digital transformation. A growing body of work affirms that digital platforms improve transparency, accountability, and distribution efficiency, and that public trust increasingly mediates the relationship between digitalization and donation (Suselo et al., 2025; Azzahra et al., 2026). Suselo et al. (2025), studying users of a national LAZ’s digital platform, isolate three drivers of trust in digital zakat—digital security, transparency and reporting, and ease of use—underscoring that technology alone does not build confidence without institutional integrity. Yet the same literature cautions that adoption remains uneven: despite high internet penetration, a persistent segment of muzakki still prefers direct, in-person giving.

Three gaps follow, each mapping onto a theme in this study. First, comparative analysis of how digitalization differentially affects state versus private institutions remains thin (addressed under digital transformation). Second, the implications of state-private competition for the broader Islamic social-finance ecosystem are underexplored (addressed under contested legitimacy and fragmentation versus co-governance). Third, empirical accounts of how perceptions of religious legitimacy shape donor behavior in a digitalizing environment are limited (addressed under trust deficit). By organizing analysis around these four themes and reading them as facets of a single construct—legitimacy—this study moves from description toward an integrated interpretation of how legitimacy, trust, and technology jointly shape the future of zakat governance.

Methodology

Design

This study adopts a qualitative case-study design and uses document analysis (Bowen, 2009) as its primary method, triangulated against three semi-structured practitioner interviews. The case—the competition between state and private zakat institutions in Indonesia—is examined through documentary traces of that competition across the historical-regulatory record, contemporary evidence on donor behavior, and a recent legal contest. Document analysis suits a phenomenon that is institutional and public: it is enacted through laws, court proceedings, institutional reporting, and survey evidence that are, by nature, documentary. The interviews add what documents cannot—how actors on each side of the competition reason about their own position—and are treated not as a supplement to the documents but as a second body of evidence that jointly constitutes each theme.

Theoretical framework

The analysis is guided by Fauzia’s (2013) framework of state-religion relations, which reads the state and religious civil society not as a fixed hierarchy but as parties locked in a shifting, mutually conditioning relationship—each gaining ground as the other recedes—and by the concept of Islamic social finance, which treats zakat not only as individual worship but as a financial instrument capable of supporting sustainable development.

Data corpus and interview sampling

The corpus comprises the documents summarized in Table 2 (Findings), selected purposively for their relevance to the case and their credibility as primary or authoritative secondary sources. It spans a foundational statute (Law No. 23/2011), a landmark judicial contest (Constitutional Court Case No. 97/PUU-XXII/2024), a national donor-behavior study (IDEAS, 2025), a national ZISWAF survey (Social Trust Fund UIN Jakarta et al., 2026), and institutional and scholarly reporting from 2024–2026. To triangulate the documentary themes, three interviews were conducted using purposive, maximum-variation sampling designed to capture the spectrum of the competition rather than a single vantage point. The participants are profiled in Table 1.

Table 1. Interview participants

Code	Position	Sector	Experience
D5a	Former head (2015–2020) and commissioner (2020–2025), provincial BAZNAS	State regulator	~10 years
D5b	Fundraising director, national LAZ (LAZNAS)	Private — national, established	10+ years
D5c	Director, BaitulMaal Pondok Digital (BPD)	Private — regional, digital-first	~6 years

Two participants (D5a, D5b) requested anonymity and are identified only by institutional role; the third (D5c, the Director of BPD) consented to be identified in his professional capacity.

Analytic procedure

Coding was inductive and worked upward from the material rather than down from a template. I began by immersing myself in all twelve sources—reading each statute, judgment, survey, and transcript closely and writing analytic memos as I went. From that reading I assigned data-near labels: regulator–auditor–operator tri-role, player and referee, muzakki prefers direct giving, digital as DNA, and state as pure regulator, among others. Clustering these by conceptual affinity produced two organizing axes—one gathering autonomy, the tri-role, and the judicial review around questions of legitimacy, the other gathering distrust, reputation, and reporting around questions of trust. I then tested the emerging clusters against the coded extracts and the full corpus, collapsing two overlapping candidates, and settled on

four themes. Because the categories were an outcome of this process and not imposed in advance, the analysis follows the reflexive thematic tradition (Braun & Clarke, 2006); Figure 1 traces the funnel from raw sources to interpretation.

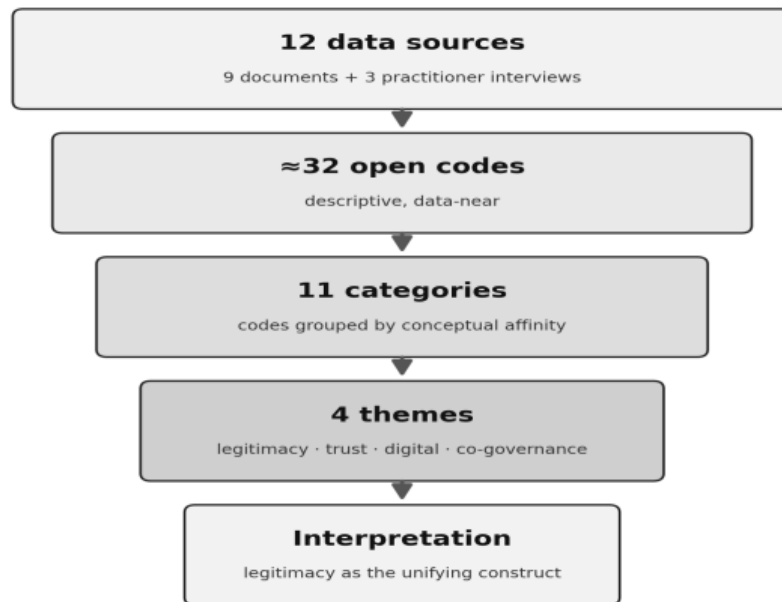


Figure 1. From data to themes: the inductive coding process.

Trustworthiness and ethics

Credibility was supported by triangulating across document types (legal, empirical, institutional) and across three practitioner perspectives spanning state and private actors. All interviewees gave informed consent; two requested anonymity, as noted. As a study relying largely on public documents and interviews with willing professionals, the research posed minimal ethical risk.

The author holds a professional role within BaitulMaal Pondok Digital (BPD), one of the three institutions represented in the interview sample, and interviewee D5c is the Director of that same institution. To mitigate insider bias, all themes were anchored in the documentary corpus, state-side and private-side accounts were weighted equally in interpretation, and BPD is treated as an illustrative case rather than a representative one. D5c was identified in his professional capacity with informed consent, whereas D5a and D5b were anonymized at their request.

Findings

The four themes below emerged consistently across the corpus, with documents and interviews functioning as two bodies of evidence that jointly build each theme rather than one illustrating the other. Table 2 summarizes the data sources.

Table 2. Summary of data sources analyzed

Code	Source	Origin / publisher	Date	Type	Relevance
D1	Law No. 23/2011 on Zakat Management	Republic of Indonesia	2011	Statute	Legitimacy; fragmentation

D2	Constitutional Court Decision No. 97/PUU-XXII/2024 (in Zaari et al., 2025)	Mahkamah Konstitusi RI	2024–25	Legal / judicial review	Contested legitimacy; co-governance
D3	Potret Kederawatan Muslim Indonesia (donor behavior, segmentation & sector landscape)	IDEAS / Dompot Dhuafa	2025	Empirical policy brief	Trust; digital; donor behavior; state capacity
D4	Potret dan Perilaku ZISWAF Muslim Indonesia (national survey, 8,360 respondents)	Social Trust Fund UIN Jakarta et al.	2026	National survey	Scale; digital adoption; fragmentation
D5a	Interview — former provincial BAZNAS head/commissioner (2015–2025)	Primary data (anonymized)	2026	Semi-structured interview	State-side perspective; all themes
D5b	Interview — fundraising director, national private LAZ (LAZNAS)	Primary data (anonymized)	2026	Semi-structured interview	Private national perspective; all themes
D5c	Interview — Director, BaitulMaal Pondok Digital	Primary data (Imam Candra)	2026	Semi-structured interview	Private digital perspective; all themes
D6	Inclusive Zakat Governance (hybrid model; Malaysia comparison)	ICIEB 11th Proceedings	2025	Conference paper	Co-governance
D7	Governance challenges of zakat institutions	Thahir & Muhibbuddin, Borneo Int'l J. of Islamic Studies	2025	Journal article	Trust; institutional capacity
D8	Digital transformation in zakat management	Azzahra et al., Share: J. Ekonomi dan Keuangan Islam	2026	Journal article	Digital transformation
D9	Public trust in digital zakat	Suselo et al., El-Kahfi J. of Islamic Economics	2025	Journal article	Trust; digital adoption
D10	Islamic Philanthropy (state-religion framework)	Fauzia, Komunitas Bambu	2013	Scholarly monograph	Theoretical anchor

Theme 1: Contested legitimacy — state authority versus religious voluntarism

The clearest pattern in the data is a contest over who holds the legitimate authority to govern zakat, and that contest now appears in the same terms from the statute, the bench, and the practitioners themselves. Law No. 23/2011 designates BAZNAS as the primary national authority and subordinates LAZ to its supervision; framed officially as a transparency measure, independent institutions read it as a threat to autonomy, holding that zakat, as an act of worship, should be neither monopolized nor bureaucratically controlled.

That reading is no longer rhetorical. On 15 July 2024, the Dompot Dhuafa Republika Foundation (Ahmad Juwaini, Etika Setiawanti) and figures associated with the Jakarta Zakat Forum (Bambang Suherman, Irvan Nugraha) filed a judicial review of the Law before the Constitutional Court—Case No. 97/PUU-XXII/2024—arguing that it consolidates regulatory, operational, and auditing power in BAZNAS, rendering it a “superbody” that marginalizes LAZ (Mahkamah Konstitusi Republik Indonesia, 2024; analyzed in Zaari et al., 2025). What gives the petition its force is that its factual premise is conceded by the state itself: describing his own former role, the provincial BAZNAS commissioner enumerated the mandate without hesitation—BAZNAS acts “first as regulator; second as auditor; and third as operator” of collection—treating the very concentration the petitioners attack as a straightforward legal duty. Named from the other side of the competition, that same structure loses all neutrality: the fundraising director of a national LAZ described a relationship that looks cordial on the surface but runs “quietly like competition—not balanced, because one is a player, while the other plays

double: a player who is also the referee.” Statute, court, and practitioner thus converge on the same fact and divide precisely over its meaning—a mandate to one side, a conflict of interest to the other. At the 17 October 2024 hearing the government held the opposite line, calling BAZNAS and LAZ “complementary components” of a single ecosystem.

The contest is old, and the practitioners locate themselves within its long arc. Zakat was once managed by communities under ulama and kyai; the colonial state intervened to blunt the socio-political influence of religious leaders; and that pattern persisted after independence beneath the language of development. When the national LAZ director observes that the zakat law “first emerged from us, the private activists who pushed for it to be born,” only to be interpreted “too rigidly by the regulator,” she is voicing the civil-society claim to historical ownership that Fauzia (2013) places at the center of Indonesian philanthropy. For the newest entrants, meanwhile, centralization is felt as a constraint that reshapes rather than forbids: the Director of BaitulMaal Pondok Digital—a regional, digital-first institution that once ran as a Zakat Collection Unit (UPZ) and is now pursuing national LAZ accreditation—described surviving it by being “more creative,” innovating within what he called three obediences: to regulation, to sharia, and to ethics.

Theme 2: Trust deficit and institutional capacity

If legitimacy is contested at the level of authority, it is corroded at the level of trust—and here documents and practitioners describe one problem from several angles. Wariness of state-managed institutions where large, spiritually charged funds are involved is compounded by capacity: leadership posts in government zakat bodies are sometimes filled by appointees without direct grounding in philanthropy or Islamic finance, producing policy that is bureaucratic and detached (Thahir & Muhibbuddin, 2025). Each practitioner named the same fault line in his or her own idiom—the provincial regulator identified “the capacity of the institution itself” as the greatest obstacle to public trust; the national LAZ director listed “positioning, human resources, governance”; the BPD director framed his central task as building and holding a reputation.

The behavioral evidence explains why this matters. The behavioral pattern is decisive: roughly two-thirds of Muslim givers (about 69%) remain more comfortable giving directly—to beneficiaries, mosques, or musholla—while only about 31% route their giving through formal institutions (IDEAS, 2025). The preference is pragmatic, not merely traditional—asked what would move them toward institutions, informal givers most often cited transparency and accountability (around 40%), and a large “Skeptical” segment (about 24%) studies an institution’s reports and channels before giving at all. What earns that trust, though, is exactly where the two sectors part company. For the regulator, the state body’s advantage is its official character: donors choose BAZNAS because it is a *plat merah* (state) institution, “more guaranteed in terms of legality, and therefore trustworthy.” For the national LAZ director, donors choose her organization for something it must keep re-earning—“its programs, their relevance, and their impact”—while the BPD director located his edge in “reputation and brand positioning,” sustained by “promising only within our capacity, and keeping that promise.” That contrast is the theme in miniature: the state rests legitimacy on conferred status, whereas private actors must manufacture it continuously through demonstrated performance—which is why transparency, in the literature and the interviews alike, tracks internal governance commitment more than institutional size (Thahir & Muhibbuddin, 2025).

Theme 3: Digital transformation as a new arena of competition

Technology has become the arena in which that manufacturing of legitimacy now happens fastest, and on its scale the practitioners are unanimous even as they differ on their readiness for it. The provincial regulator conceded the shift plainly—it has been “enormous,” to the point that “even we, the older and senior ones, have had to adapt.” The national LAZ had answered it structurally, with “a dedicated division”; for the digital-first institution it was never a department but a birthright—BPD “began with digital,” its director said, so that it became “our DNA” and, as it turned out, its competitive edge, with the blunt corollary that institutions “not connected to digital will inevitably be pushed to the margins.” Recent work supplies the mechanism behind the anxiety they share: digital platforms raise transparency and accountability only when matched by institutional integrity, because public trust mediates whether digitalization converts into donations (Suselo et al., 2025; Azzahra et al., 2026). It is no surprise, then, that asked to name digital fundraising’s greatest risk, the regulator pointed to “accountability, reporting, and speed of response,” and the national director warned that online trust is fragile and, mishandled, “can become a boomerang.”

The macro picture keeps this from tipping into triumphalism. A 2026 national survey of 8,360 adult Muslims—reported here as a preliminary national release pending final publication—put total annual ZISWAF giving near Rp343 trillion, yet found online transactions averaging below 5% across cash-based instruments, with face-to-face giving still above 95% (Social Trust Fund UIN Jakarta et al., 2026). Read against the donor study, the two are complementary rather than contradictory: digital is the decisive frontier among institutional and younger donors even as the national pool—largely informal and in-kind—remains offline. The divide matters precisely because the segment migrating online is the one institutions most want; whoever converts offline, informal giving into trusted formal channels will define the sector’s next decade.

Theme 4: Fragmentation and the potential for co-governance

Competition has thus produced a paradox—sharper accountability and innovation on one side, deepening fragmentation on the other—and the interviews make unusually clear why the obvious remedy, co-governance, keeps stalling: the two sides do not want the same thing. Expert testimony in the judicial review already flagged jurisdictional fragmentation among BAZNAS, LAZ networks, and regional governments as a core risk (Zaari et al., 2025), and every practitioner endorsed collaboration in the abstract—the regulator prized “intense dialogue, collaboration, and communication,” and the national director’s one recommendation was simply to “collaborate more often.” Their preferred destinations, however, are mutually exclusive. The regulator’s ideal is consolidation: “BAZNAS becomes the umbrella for all institutions, so everything is coordinated under BAZNAS,” governed by the principle that “everyone obeys the rules.” Both private actors want a separation of powers instead—the national director that “BAZNAS is enough as regulator, and may also audit, but let collection be handled by the private LAZ,” and the BPD director, most tersely, that co-governance is possible “but the state must begin to act as a pure regulator.” The disagreement is structural, not merely temperamental: what the state offers as coordination is precisely the entanglement of roles the private sector is trying to escape.

Yet the raw materials of cooperation exist. State and private actors have combined effectively in emergencies, and comparative work reads Indonesia’s own hybrid arrangement as a source of flexibility rather than only friction (Nur Fadhillah et al., 2025). Both private practitioners converged on the same prescription—“clarify the government’s role”—and, strikingly, the competitors agree on the deepest

problem even where they disagree on the fix: the regulator named “maintaining public trust amid pessimism” as the defining challenge of the coming decade, and the national director named “building the ummah’s optimism.” Legitimacy, once more, is the currency at issue on every side.

Discussion

The four themes are less a list than a single object seen from different sides. What is contested throughout is legitimacy—the recognized right to define and distribute communal virtue—and each theme catches a different moment of that contest: the authority to govern zakat, the social capital that authority rests on, the newer channel through which it is now earned, and the question of how it should be shared. The rest of this section reads each moment against Fauzia’s (2013) dialectic and the recent literature, noting where the evidence confirms existing accounts and where it pushes past them.

The contest over legitimacy is best understood through Fauzia’s (2013) account of state-religion relations as a dialectic of mutual influence rather than a simple hierarchy. In her reading, when the state was weak, philanthropy grew powerfully and was used to challenge it; when the state was strong, Muslim civil society weakened but still found philanthropic means to press for change. Viewed this way, BAZNAS’s drive for standardization under Law No. 23/2011 is a phase of assertive state involvement, and LAZ resistance is not mere obstruction but a historically recurring form of civil-society self-defense. The 2024 judicial review both supports and extends this reading. It supports it because the petitioners’ language—autonomy, communal ownership, resistance to a state “superbody”—is exactly the self-defense Fauzia describes; the national director’s claim that the zakat law itself “first emerged from us, the private activists” is a near-perfect articulation of civil society’s claim to historical ownership. It extends the framework because that defense is now waged not through preaching but through constitutional litigation over the separation of regulatory and operational power—the dialectic has migrated into the courtroom. And the interviews add what the documents could not: the regulator’s own, unguarded confirmation that BAZNAS holds all three roles means the factual premise of the petitioners’ case is not disputed even by the state side. What is disputed is only whether that concentration is a mandate to be obeyed or a conflict to be dismantled.

The trust deficit is best interpreted as a problem of social capital rather than of operational efficiency alone. Zakat operates through networks of trust, obligation, and reciprocity; when those bonds are strong, donors give generously without compulsion, and when they break, even formal enforcement struggles to mobilize funds. Here the findings complicate a common policy assumption. If the public’s preference for private channels were merely ideological or traditionalist, better state marketing might fix it. But the donor evidence shows the preference is pragmatic—anchored in transparency and accountability (IDEAS, 2025)—and the governance literature shows transparency tracks internal commitment more than institutional scale (Thahir & Muhibbuddin, 2025). The interviews dramatize this divide: the state actor grounds legitimacy in conferred status (“plat merah... guaranteed”), while private actors must earn it continually through “programs, relevance, and impact” and by “keeping the promise.” Trust, on this account, is the social capital that underwrites legitimacy—accumulated through clean, community-focused service, not conferred by legal privilege—which is why the regulator’s own greatest worry, “maintaining public trust amid pessimism,” cannot be answered by legal authority alone.

Digitalization functions as more than an efficiency upgrade; it has become a distinct mechanism through which legitimacy is now earned—what this study terms digital legitimacy. Where credibility once

accrued slowly through institutional reputation, real-time reporting and direct donor engagement let newer or smaller organizations establish it quickly, rewarding agility over incumbency. This is where the BPD director's "digital DNA" and his warning about marginalization meet the structural risk visible in the data: as younger, tech-savvy donors migrate to private digital channels, a state sector that innovates slowly risks collecting a shrinking share of the very segment it most needs, weakening its capacity to fund the innovation required to compete—a self-reinforcing disadvantage that the regulator's candid "even we seniors must adapt" quietly concedes. Yet the national survey's finding that most giving remains offline tempers any claim that private actors have already won: the contest is live precisely because the bulk of the pool has not moved, and whoever converts informal, offline giving into trusted formal channels will shape the sector's next decade. The shared practitioner anxiety about digital risk—"accountability, reporting, and speed," a trust "boomerang"—qualifies the digital-optimism literature (Suselo et al., 2025): technology closes the legitimacy gap only when paired with genuine transparency; absent that, it is read as cosmetic, or backfires.

Finally, the fragmentation theme need not be read as evidence that competition is inherently destructive—but the interviews clarify why co-governance has stalled, and the answer is more sobering than a mere "dialogue deficit." The two sides hold genuinely incompatible ideals of the end-state. The regulator's vision is centripetal: everything coordinated under BAZNAS. The private actors' vision is a separation of powers: BAZNAS as regulator (perhaps auditor), collection left to civil society. A framing consistent with Islamic social finance treats regulation and autonomy as complementary rather than rival goods: the state's comparative advantage lies in legal and infrastructural capacity for oversight and standardization at scale, and the private sector's in social capital, community embeddedness, and rapid innovation. What the private practitioners articulated as "the state as pure regulator" is, in scholarly terms, the functional separation of policymaking from implementation that the judicial-review analysis itself identified as necessary to defuse BAZNAS's conflict of interest (Zaari et al., 2025). A workable model would formalize the ad hoc collaborations already seen in emergencies—through light-touch, risk-proportionate reporting, recognition of the Forum Zakat as a coordinating body, and certified alternative payment channels that satisfy accountability without funneling all zakat through a single national body (Nur Fadhilah et al., 2025). But this depends on the state's willingness to relinquish the operator role it currently treats as a mandate—the hardest concession of all—and on private actors accepting proportionate oversight rather than resisting accountability wholesale. Absent both, and given that even sympathetic practitioners cannot agree on the destination, reform proposals will remain rhetorical.

Limitations and Future Research

This study's evidentiary base has two boundaries that shape how its claims should be read. First, it is document-centric, drawing chiefly on statute, judicial-review analysis, survey data, and institutional reporting; its conclusions are therefore interpretive and analytically generalizable rather than statistically representative of the sector. Second, and more consequentially, the interview sample was purposive rather than representative: three practitioners were selected precisely to span the state-private spectrum, not to mirror its distribution, and the sample includes no donors, no national-level BAZNAS or ministry officials, and only one institution of each type. Because the sample was chosen for maximum variation rather than statistical representativeness, the interview evidence should be read as illustrating the range and logic of positions within the competition—how a state regulator, an established national

LAZ, and a digital-first entrant each reason about legitimacy—and not as a measure of how common any position is. Two participants also spoke under conditions of anonymity, which strengthens candor but limits the institutional specificity that can be reported. These boundaries do not undermine the thematic findings, which are anchored in the documentary record and triangulated against the interviews, but they do bound the confidence with which the account can be generalized to the sector as a whole.

The same boundaries set the agenda for the next stage of the work. A stronger design would widen the interview base to include national-level officials and a larger, regionally diverse set of LAZ leaders, and would add the muzakki voice directly—particularly from the “Skeptical” and “Religious” segments the donor study identifies—to test whether donors’ stated reasons match institutions’ assumptions about them. Comparative interviews across Indonesia, Malaysia, and Pakistan would test how far the co-governance argument travels beyond the Indonesian case. Such extensions would move the study from a triangulated interpretive case analysis toward a more fully evidenced account of how legitimacy, trust, and technology are negotiated in practice.

Conclusion

The four themes examined here—contested legitimacy, trust deficit and institutional capacity, digital transformation, and fragmentation versus co-governance—describe a single dynamic: a long-running contest over who may legitimately define and distribute communal virtue in Indonesian Muslim society. The state’s effort to institutionalize zakat through BAZNAS is a genuine attempt to align philanthropy with national development, but it continues to collide with a historically rooted civil-society claim to zakat, a persistent deficit of public trust in state capacity, and a widening digital divide that increasingly determines whom donors regard as legitimate. The 2024 judicial review crystallized all three at once—and the interviews confirmed that even the state does not dispute the concentration of roles at the heart of the dispute, only its interpretation.

The competition, then, is not primarily a technical problem to be solved by further centralization. The public’s documented preference for private and direct channels is best read as a pragmatic response to accountability and impact, not an ideological reflex. But the dualism need not be adversarial. Handled well, competition can be a catalyst for reform: a co-governance model in which the state offers oversight, standardization, and policy support while private institutions keep zakat responsive, ethical, and spiritually grounded could harness the comparative strengths of both. The obstacle this study surfaces is that the competitors do not yet share a destination—the state imagines coordination under its own umbrella, while private actors seek a separation of powers—and realizing any workable model depends on two conditions that remain scarce: mutual trust and a genuine willingness to collaborate.

This study makes three contributions. First, it extends Fauzia’s (2013) dialectic of state-religion relations into the present, showing that civil society’s historically recurring self-defense is now conducted through constitutional litigation and digital practice rather than preaching—and that even the state concedes the concentration of roles the dialectic predicts it would defend. Second, it introduces digital legitimacy as an analytic category: in a digitalizing sector, transparency, real-time reporting, and direct donor engagement have become a distinct mechanism through which legitimacy is earned, allowing agility to substitute for incumbency. Third, it reframes co-governance not as a coordination problem but as a contest over incompatible end-states, and specifies the single concession—the state

relinquishing its operator role to become a pure regulator—on which any workable settlement depends. Together these position the paper less as a study of BAZNAS versus LAZ than as an account of how legitimacy is contested and constructed in Islamic philanthropy governance. Only through a framework rooted in Islamic ethics, communal responsibility, and the practical realities of twenty-first-century governance can zakat fulfill its potential as both a spiritual obligation and an instrument of social justice.

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